SCHEDULE DRWMP

DEMAND RESPONSE WHOLESALE MARKET PILOT

APPLICABILITY

The Demand Response Wholesale Market Pilot ("Pilot" or "DRWMP") is a voluntary demand response pilot that offers customers the ability to earn incentive payments in exchange for reducing energy consumption when requested by the Utility. This schedule is available to commercial and industrial Utility customers, greater than 20 kW, receiving Bundled Utility service, and being billed on a Utility commercial, industrial or agricultural rate schedule. Service on this rate schedule must be taken in combination with the customer's otherwise applicable rate schedule. This schedule is also available to "Aggregators", defined herein as a third party entity that combines the loads or one or more Utility customer service accounts for the purpose of participating under this schedule. "Participant" as used in this schedule shall mean Utility customers participating in the Pilot or Aggregators participating in the Pilot.

TERRITORY

Within the entire territory served by the Utility.

RATES

All charges and provisions of a participating customer's otherwise applicable rate schedule shall apply. All charges and provisions of a customer participating through an Aggregator shall apply. Customers or Aggregators who elect to sign up with the Utility for participation in the DRWMP will be paid at a maximum of 100% of the Load Reduction Incentive Payment. The tables below set forth the rates that will be paid to Participants under this schedule for each Product type and will be fixed. See Termination of Schedule Special Condition 12, for additional details.

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SCHEDULE DRWMP

DEMAND RESPONSE WHOLESALE MARKET PILOT

RATES (Continued) N

Load Reduction Incentive Payment, Pilot Options ($/kW-month):

Product	
1. Participating Load (PL) – Non-Spin A/S 11a-7p Only	$3.00/kW-month
2. Participating Load (PL) – Non-Spin A/S Select Hours	$0.35/kW - month for each peak hour and $0.10/kW – month for each non-peak hour
3. Proxy Demand Resource (PDR) - Non-Spin A/S 11a-7p Only	$3.00/kW-month
4. Proxy Demand Resource (PDR) – Non-Spin A/S Select Hours	$0.35/kM - month for each peak hour and $0.10/kW – month for each non-peak hour
5. Proxy Demand Resource (PDR) – DA Energy 11a-7p Summer, 1p-9p Winter Only	$15.00/kW – month Summer $6.00/kW – month Winter
6. Proxy Demand Resource (PDR) – DA Energy Select Hours	$1.875/kW – month for each peak hour Summer $0.10/kW – month for each non-peak hour Summer $0.75/kW – month for each peak hour Winter $0.10/kW – month for each non-peak hour Winter

SPECIAL CONDITIONS

1. Definitions: The Definitions of terms used in this schedule are found either herein or in Rule 1, Definitions.

2. Qualifying Customer: Service under this schedule is available to all non-residential time-of-use metered customers with demand of 20kW or greater. Customers electing to participate in the Pilot must meet and comply with all of the requirements for such participation as set forth in this Schedule. Participating customers must have the required metering and operable communications equipment installed while participating in the Pilot. See Metering Requirement Special Condition 13, for additional details. Participating customers must have the required notification equipment in place to participate in the Pilot. See Event Notification/Communication Special Condition 8, for additional details. N

(Continued)

SCHEDULE DRWMP

DEMAND RESPONSE WHOLESALE MARKET PILOT

SPECIAL CONDITIONS (Continued) N

2. Qualifying Customer: (Continued)

   a. Aggregators: In the event customers elect to participate in the Pilot via an Aggregator, such participation, and such Aggregator's participation in the Pilot, is subject to the terms and conditions of this schedule and Rule 31.1, Aggregators for the Demand Response Wholesale Market Pilot (DRWMP). Customers participating in the Pilot may designate only one Aggregator at a time for each participating meter and may change such designation only after the expiration of the Minimum Term in respect of such participating meter (unless terminated earlier, as set forth in Term, Special Condition 19). Prior to any changes in the designation or any termination of an Aggregator, a customer shall deliver to the Utility a "Notice to Add, Change or Terminate an Aggregator for Demand Response Wholesale Market Pilot" (Form 165-1002/1) notifying the Utility of such change or termination.

3. Pilot Operation: The Pilot's operational season will begin on or about January 1, 2011 and continue through December 31, 2011. Each operational month of the Pilot begins at the beginning of a calendar month during the operational season and ends on the last day of such calendar month.

   The Pilot provides for six different product types. Not all products will initially be offered, but products will be phased in during the pilot period after both the CPUC and FERC have approved the operation of CAISO's Proxy Demand Resource, and when operational conditions permit, including enrollment and CAISO timelines and requirements. The product types are:

   1. Participating Load (PL) – Non-Spin A/S 11a-7p Only
   2. Participating Load (PL) – Non-Spin A/S Select Hours
   3. Proxy Demand Resource (PDR) – Non-Spin A/S 11a-7p Only
   4. Proxy Demand Resource (PDR) – Non-Spin A/S Select Hours
   5. Proxy Demand Resource (PDR) – DA Energy 11a-7p Summer, 1p-9p Winter Only
   6. Proxy Demand Resource (PDR) – DA Energy Select Hours

   For those participants who elect to participate in the "11a – 7p Only" non-spin A/S products (products 1, & 3), the Pilot's operational hours are from 11:00 a.m. to 7:00 p.m. during each of the Pilot's operational days. For those participants who elect to participate in product 5, the Pilots operational hours are from 11:00 a.m. to 7:00 p.m. from May to October and 1:00 p.m. to 9:00 p.m. January through April and November and December. Operational Days are Monday through Friday during the Pilot, excluding Utility holidays, as defined in Rule 1.

   For those participants who elect to participate in the "Non'Spin A/S Select Hours" products (products 2 & 4), the Pilot's operational hours are all hours of all days of the week during the Pilot. For those participants who elect to participate in product 6, on-peak hours are 11:00 a.m. to 7:00 p.m. May to October and 1:00 p.m. to 9:00 p.m. January through April and November and December, all days of the week during the Pilot. The Participant will select a minimum of 4 contiguous hours during which they are available to curtail load in the Pilot.

   Participants in the Pilot nominate an amount of load to curtail ("Load Reduction") in the Pilot. Participants will be notified to provide the Load Reduction over a specific period of time (an "Event"). Events in the Pilot will be within the operational hours outlined above with Event duration and notification requirements specified in the following paragraphs: N

(Continued)

SCHEDULE DRWMP

DEMAND RESPONSE WHOLESALE MARKET PILOT

SPECIAL CONDITIONS (Continued)

3. Pilot Operations: (Continued)

Up to 5 curtailment events may be called in each operating month, with each event having a maximum duration of 30 minutes, for products 1 through 4 and for the nominated hours for products 5 and 6. No more than 1 event shall be called each calendar day. To support the Pilot's objectives, each customer will be called a minimum of 3 events per month. This number may not apply for Multiple Program Participation. See Special Condition 11.

For products 1, 2, 3 and 4, Load reduction must occur within 10 minutes of the Utility receiving the dispatch from the CAISO. In order to comply with CAISO dispatch instructions, the Utility will notify the customer within 5 minutes of receiving the CAISO dispatch notice to allow time for dispatches received from the CAISO to be processed and provided to the Participant. Therefore, the Participant should be prepared to reduce load within 5 minutes of receiving event notification in order to meet the performance requirements. For products 5 and 6, notification to curtail will occur by 3:00 p.m. one day prior to the operational day.

a. Interruptible Period: Each interruptible period ("Event") shall be the period of time during which the Utility has informed the Participant to curtail energy consumption by use of a communications process utilizing equipment described in the Event Notification/Communication Special Condition 8.

b. Interruptible Period Termination: An Event will terminate after 30 minutes for products 1, 2, 3 and 4 and as prescribed therefore for the nominated quantity for products 5 and 6 or upon notification by the Utility that the Event has ended earlier.

c. Load Reduction Nominations:

i. Initially: Participants must submit monthly nominations for the reduction of load ("Load Reduction Nominations") to the Utility not later than 5 calendar days prior to each Pilot operational month. If the 5th calendar day prior to the operating month falls on a weekend or holiday, the nomination must be submitted by the preceding Friday. All Load Reduction Nominations must allocate the amount of load reduction nominated among each Product nominated for such operational month (such nominated amount, the "Nominated Load Reduction"), without overlap of such Nominated Load Reduction among any such selected Product during such operational month. All Load Reduction Nominations are fixed for their associated operational month, but may change from operational month to operational month and conform with Section 3. c. ii. Participants may not submit Load Reduction Nominations unless all requirements specified in this schedule have been met.

ii. Additional Aggregation Requirements: A participating customer may be included in only one Aggregator's aggregated customers for a given operational month. No later than five (5) calendar days prior to the first day of the operational month, each Aggregator must specify which participating customers are to be included in each Product set forth in such Aggregator's Load Reduction Nomination for that operational month. The aggregated group of participating customers for a given Product will be used to determine the Baseline (see Customer-Specific Baseline Special Condition 5) and associated Pilot performance during that operational month.

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SCHEDULE DRWMP

DEMAND RESPONSE WHOLESALE MARKET PILOT

SPECIAL CONDITIONS (Continued) N

3. Pilot Operation: (Continued)

   d. Cancellation of Nominations: Any changes or cancellations of Load Reduction Nominations for an operating month must be submitted by the Participant to the Utility not later than five (5) calendar days prior to such operating month. If such fifth (5th) calendar day prior to such operating month falls on a weekend or holiday, such change or cancellation must be submitted by the preceding Friday. If a Participant fails to nominate a load reduction for a Product for a particular operational month, then the default Nominated Load Reduction therefore shall be zero (0).

   e. Third-Party Coordinators: Utility may contract with one or more third parties ("Coordinators") to assist Utility in the administering, coordination and/or scheduling of the Pilot and may designate such Coordinators as the sole point of contact in respect of such services by notifying the applicable Participants of such designation.

   f. Pilot Triggers: The Utility may call up to five (5) events per month during the duration of the Pilot.

4. Pilot Availability: An Event may be called during the Pilot's operational season, operational days and operational hours as defined above. The ability of Customers to participate in the Pilot shall be limited based upon the approved funding, load reduction available for award and a potential Participant's ability to work with the Utility to install the necessary communications within the required timeframe. The Utility will attempt to provide such communications to potential Participants as quick as is practical.

5. Customer Specific Baseline:

   a. Products 1, 2, 3, and 4:

      Participants in Products, 1, 2, 3, and 4 use a meter-before baseline ("Baseline") that is based on meter data from the same operational day as the Event.

      i. Participating Customers: For customers enrolled in the Pilot directly with the Utility, the Baseline will be the actual load for the specific customer site during the 5-minute interval prior to the Event.

      ii. Aggregators: For Aggregators, the Baseline for each Product will be the actual aggregated load for such Product during the 5-minute interval prior to the Event.

      The baseline amount is the metered value in the 5-minute interval prior to the Event. In many cases, Participants will not have meters that record demand levels (kW) in 5-minute intervals (15-minute interval metering is more common). In such cases, the 15-minute average load level will be used for the 5-minute interval. N

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SCHEDULE DRWMP

DEMAND RESPONSE WHOLESALE MARKET PILOT

SPECIAL CONDITIONS (Continued) N

5. Customer Specific Baseline: (Continued)

b. Products 5 and 6

In order to participate in Products 5 and 6, Participants must have a valid baseline ("Baseline") for each product nominated each day of an operational month, which Baseline must be established not later than 5 calendar days prior to the first day of such operational month of the Program.

i. Participating Customers: For customers enrolled in the Program directly with the Utility, the Baseline for any given operational day is defined as the average consumption for the nominated hours for the immediately preceding ten (10) non event days from within the forty-five (45) days prior to the Event. For the 11-7 and 1-9 Products, the baseline will exclude weekends and holidays. For both products, the baseline will exclude days when a customer was paid to reduce load, when load reductions were requested or when rotating outages were called.

ii. Aggregators: For Aggregators, the Baseline for each Product nominated for any given operational day is based on such Product's associated aggregated group of customers on such operational day, and is determined as follows: The hourly load profile for such aggregated group on such day is determined by summing the hour by hour interval metering data for each customer of such group (other than customers who have nominated, whether by election or by default, no (or zero) load reduction for such Product on such operational day), and the Baseline for such aggregated group in respect of such Product is the average of the immediately preceding ten (10) non event days from within the forty-five (45) days prior to the event for such calculated load profile. For the 11-7 and 1-9 Products, the past ten (10) similar days will include Monday through Friday and exclude Utility holidays. For both products, similar days will additionally exclude days when a customer in such aggregated group was paid an incentive to reduce load on an interruptible or other curtailment program, or days when rotating outages were called.

This baseline establishes the level from which the Participant is expected to curtail. The Actual Metered Load during the Event (as determined by Settlement Quality Meter Data) will be subtracted from the Baseline to determine the Actual Load Reduction. The Actual Load Reduction will be compared to the Nominated Load Reduction in order to determine performance.

6. Incentive Payment and Non-Performance Penalties: An Incentive Payment will be calculated for each Product for each Participant for each operational month based upon the Participant's performance during that month.

a. Load Reduction Incentive Payment: To calculate a Participant's performance for a Product for an Event, the average of the percent of load reduction achieved in each of the Settlement intervals will be used as the Event Load Reduction. For each interval, this Percent Load Reduction will equal the Actual Load Reduction for the interval divided by the Nominated Load Reduction for that same interval. For each interval this Percent Load Reduction will be capped at 100%. N

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SCHEDULE DRWMP

DEMAND RESPONSE WHOLESALE MARKET PILOT

SPECIAL CONDITIONS (Continued)

6. Incentive Payment and Non-Performance Penalties (Continued):

i. The amount of the Load Reduction Incentive Payment for each operational month is calculated by summing the Adjusted Event Capacity Payment Amounts for each Product nominated in such operational month. Each Adjusted Event Capacity Payment is calculated as follows:

$$AP = ((NLR * I) / E) * PF$$

AP = Adjusted Event Capacity Payment Amount
NLR = Nominated Load Reduction (kW)
I = Load Reduction Incentive Payment Rate ($/kW)
E = Number of Events for the Product in the Operational Month
PF = Event Performance Factor

ii. The Event Performance Factor is based on the Actual Load Reduction (as defined in the Actual Load Reduction Special Condition 7) for such Product for each Event and is equal to the values listed in the following table:

Actual Load Reduction for such Product	Event Performance Factor (PF)
More than 100 percent of Nominated Load Reduction for such Product	100 percent
25 -100 percent of Nominated Load Reduction for such Product	Prorated value between 25 and 100 percent based on actual metered performance.
Less than 25 percent of Nomination Load Reduction	Zero

b. Disbursement of Payments:

i. Customers: For each customer participating directly with the Utility, the DRWMP incentive will be calculated based on that customer's Actual Load Reduction. The billing and payment of Load Reduction Incentive Payments as well as all other amounts, charges, penalties and fees due and payable in respect of this Pilot, to or from customers participating in the Pilot will be paid by the Utility within 30 days after the end of the event operating month, but no more than 60 days after the end of the event operating month, and will be made in the course of the customer's normal billing for services with the Utility consistent with Utility's tariffs.

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SCHEDULE DRWMP

DEMAND RESPONSE WHOLESALE MARKET PILOT

SPECIAL CONDITIONS (Continued)

b. Disbursement of Payments: (Continued)

ii. Aggregators: The billing and payment of Load Reduction Incentive Payments, as well as all other amounts, charges, penalties and fees due and payable under this schedule, Rule 31.1 or the Aggregator Contract (Form 165-1001/1), to or from Aggregators are set forth in Rule 31.1.

7. Actual Load Reduction: A Participant's "Actual Load Reduction" during an Event for each Product nominated by such Participant is equal to:

a. In the case that such Participant is a customer participating directly with the Utility, the extent that the actual energy usage of such customer during such Event for such Product is less than such customer's Baseline for such Product.

b. In the case that such Participant is an Aggregator, the extent that the actual energy usage of the aggregated group of customers during such Event for such Product is less than such aggregated group of customer's Baseline for such Product.

8. Event Notification/Communication: Participants must, at their own expense, have access to the Internet and an e-mail address to receive Event notifications via the Internet. In addition, Participants must have, at their own expense, an alphanumeric pager or cell phone that is capable of receiving a text message sent via the Internet. No Participant may participate in the Pilot until all of these requirements have been met.

9. Event Cancellation: Once an Event has been initiated in accordance with the provisions herein, the actual Event may be cancelled.

10. Contract Requirement: Participating customers and Aggregators must execute all applicable agreements prescribed by the Utility prior to participation under this schedule. Necessary agreements may include the following:

a. For Utility customers, a Demand Response Wholesale Market Pilot (DRWMP) Customer Contract (Form 165-1000/1, "Customer Contract");

b. For Aggregators, an Aggregator Agreement for Demand Response Wholesale Market Pilot (DRWMP) (Form 165-1001/1, "Aggregator Contract").

11. Multiple Program Participation: Customers participating on the Schedule DRWMP are ineligible to participate in other demand response programs during the same time period.

Customers can participate in both the Critical Peak Pricing (CPP) rate and the DRWMP to the extent that they would not receive duplicate payments. To prevent such duplicate payments, a Customer participating in the Pilot, who is also on the CPP rate, will have their Load Reduction Incentive Payment reduced by the ratio of overlapping DRWMP event and CPP event hours to the total number of hours the participant is available for the DRWMP within the month. If a DRWMP event is called during a CPP event, the customer will not be dispatched for the DRWMP event and will be assumed to be unavailable during that time. This may reduce the minimum number of calls a customer receives each month.

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SCHEDULE DRWMP

DEMAND RESPONSE WHOLESALE MARKET PILOT

SPECIAL CONDITIONS (Continued)

12. Termination of Schedule: This schedule is in effect until December 31, 2011 or until modified or terminated through the Utility's Demand Response Programs Portfolio Application proceeding or through the annual program evaluation and modification process most recently adopted by the Commission in D.09-08-027 and referenced in D.10-06-002.

13. Metering Requirement: Each participating customer must have an approved interval meter and approved meter communications equipment installed and read by SDG&E. An approved interval meter is capable of recording usage in 15-minute intervals and being read remotely by the Utility.

    For customers accepted for participation in the Pilot, the Utility will provide and install reasonable and necessary telemetry and equipment at no cost to the customer.

14. Telemetry: Real-Time Telemetry is required to participate in the Pilot for products 1, 2, 3 and 4. The Utility will provide and install reasonable and necessary telemetry and/or supporting equipment at no cost to the Participant; however, the cost to provide such equipment may be used as a criterion in selecting which customers are accepted into the Pilot. In addition to Real-Time Telemetry, Participants may elect to install or use Auto DR equipment to conform to the Pilot's response time requirement. The Utility will support such Participant equipment for accepted Participants, but the cost of such equipment shall be the responsibility of the Participant.

15. Utility Reporting: The Utility will provide the Commission with a periodic report on the performance results of this schedule. The report may contain information on individual Participant performance, which will be provided to the Commission and the CAISO under applicable confidentiality protections. Participants must agree to allow the Utility, the California Energy Commission ("CEC") and their respective agents, employees, contractors, representatives and designees to conduct a site visit for measurement and evaluation, and agree to complete any surveys needed to evaluate the Pilot. Furthermore, Participants shall provide all load data and background information, under appropriate confidentiality protections needed to complete this evaluation. The data may also be made available to academic researchers, under appropriate confidentiality protections, to facilitate the understanding of demand response.

16. Emergency Generation Limitations: Participating customers can not achieve load reductions by operating backup or onsite standby generation.

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SCHEDULE DRWMP

DEMAND RESPONSE WHOLESALE MARKET PILOT

SPECIAL CONDITIONS: (Continued)

17. Dispute Resolution: Any dispute arising from the provision of service under this schedule or other aspects of the Pilot will be handled as provided for in the Utility's Rule 10, Disputes.

18. Implementation Adjustments: The DRWMP is a "pilot" schedule and as such is subject to adjustments during its implementation. Utility will inform Participants of any adjustments that impact their participation. Significant changes in the pilot may require CPUC approval; Participants will be informed of such changes and progress as to the approvals.

19. Term: Except as set forth below, each Participant must remain in the Pilot through December 31, 2011 ("Minimum Term") unless (a) the Pilot expires earlier, or (b) such Participant's Pilot contract with the Utility (that is, the Customer Contracts in the case of customers and Aggregator Contracts in the case of Aggregators) expires or terminates earlier. After the expiration of the Minimum Term, Participant may terminate its Pilot contract with the Utility and its participation in the Pilot by submitting to the Utility written notification of such termination, which termination shall be effective on the date that is the later of (i) the beginning of the calendar month that is immediately after the expiration of the Minimum Term, and (ii) the beginning of the calendar month that is closest to but at least thirty (30) calendar days after the Utility receives such notification.

    In the event of termination of an Aggregator Contract between an Aggregator and Utility, the customers whom such Aggregator represented under such Aggregator Contract will have fourteen (14) days from the date of receipt of notice of such termination by Utility in which to continue their participation in the Pilot in respect to the represented service meters through another Aggregator or directly with Utility without the designation of an Aggregator. Customers electing the foregoing must submit a "Notice to Add, Change or Terminate an Aggregator" (Form 165-1002/1) setting forth their election. Upon receipt of a Notice to Terminate an Aggregator the utility will contact the customer to determine customer's plans for continued participation in the program.

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